

RATING ACTION COMMENTARY**Fitch Assigns Rodenstock 'B-' IDR; Outlook Stable**

Mon 06 Jul, 2026 - 10:37 ET

Fitch Ratings - Frankfurt am Main - 06 Jul 2026: Fitch Ratings has assigned Rodenstock Group GmbH a Long-Term Issuer Default Rating (IDR) of 'B-'. The Outlook is Stable. Fitch has also assigned the existing EUR840 million term loan B (TLB) due June 2028 a senior secured rating of 'B-' with a Recovery Rating of 'RR4'.

The rating is constrained by the group's small scale, despite its resilient market position and diversified customer base. It reflects limited product diversification, geographic concentration, very high starting leverage and high refinancing risk. These constraints are partly mitigated by strong EBITDA margins, manageable capex and moderate working capital outflows.

The Stable Outlook reflects Fitch's expectation that the group will continue to improve profitability, supporting gradual deleveraging. The rating and Outlook are predicated on timely refinancing of maturities in December 2027 and June 2028 on market terms. Failure to refinance these, or establish a credible refinancing plan within the next six months, could lead to negative rating action.

KEY RATING DRIVERS

Refinancing Risk Constrains Rating: We see increased refinancing risk as the company's EUR125 million revolving credit facility (RCF), of which EUR89 million was drawn at end-2025, comes due in December 2027 and the EUR840 million TLB matures in June 2028. The rating and Stable Outlook assume timely refinancing at market rates within the next six months before the maturing debt becomes short-term. Failure to extend the capital structure in line with Fitch's assumptions within the next six months will put pressure on the rating and Outlook.

High Leverage, Aggressive Financial Policy: The starting EBITDA leverage is very high at 8.5x at end-2025. We expect it to reduce to 8.0x in 2026 and towards 7.7x in 2027 on envisaged EBITDA expansion, driven by executed cost-cutting initiatives and improved

portfolio mix and footprint optimisation. There is limited near-term rating headroom for underperformance against our sensitivities. This tolerance of high debt supports our assessment of the sponsors' aggressive financial policy.

Niche Player; Differentiated Lens Technology: Rodenstock's 'B-' rating is supported by a defensible niche position in premium biometric ophthalmic lenses, underpinned by its proprietary B.I.G. Vision technology, 610 patents and 40% of core sales derived from highly differentiated products with limited direct competitors. This supports pricing power and entrenched relationships with independent opticians. However, Rodenstock remains a mid-cap player (2025 sales of EUR493 million) and is materially smaller than competitors EssilorLuxottica, HOYA and Carl Zeiss, constraining its competitive positioning score at 'bb-', according to our medical devices navigator.

Strong Profitability Relative to Peers: Rodenstock's Fitch-adjusted EBITDA margin of 22% (2025) and 61% gross margins are strong even versus much larger peers, reflecting the differentiation of its lens technology, alongside a streamlined cost base and lower-cost manufacturing setup in Eastern Europe and Asia. We expect profit margins to be supported by improved product mix, continued cost efficiencies as well as footprint optimisation, with Fitch-adjusted EBITDA margins rising to 24.4% in 2026 and towards 26% by 2029.

Weak FCF: The company has historically generated negative free cash flow (FCF), with a particularly weak outturn in 2025, driven by lower EBITDA, higher capex, sizeable interest expense and material restructuring costs. We expect FCF to remain slightly negative in the near term, despite support from EBITDA margin expansion, lower capex and reduced restructuring costs. Beyond this, we forecast FCF to turn broadly neutral to slightly positive through 2029, although potentially higher refinancing costs under the new capital structure will continue to weigh on cash flow.

Constrained Liquidity: We assess liquidity as limited, given a moderate cash balance of EUR28 million at end-2025, of which we restrict EUR16 million as not available for debt service, and a largely drawn RCF. At end-2025, EUR89 million of EUR125 million was drawn. We expect only limited FCF generation, and any material underperformance, larger working capital swings than currently anticipated or more material capex requirements could put the rating under pressure and may result in a downgrade to the 'CCC' category.

Structural Growth Drivers; Germany Soft: We view long-term demand fundamentals as favourable, driven by ageing population, rising myopia and a structural shift toward technologically advanced progressive lenses, underpinning low- to mid-single digit market growth over the medium term. This is partly offset by the soft German market -

Rodenstock's largest market, at 31% of 2025 sales - where premium multi-focal lenses carry high out-of-pocket costs and consumers may delay purchases or trade down to cheaper models in economic downturns. This is somewhat mitigated as the group has slowly expanded outside Germany into higher growth markets.

RECOVERY ANALYSIS

We expect that Rodenstock would most likely be sold or restructured as a going concern (GC) in a bankruptcy rather than liquidated. We estimate a post-restructuring GC EBITDA at about EUR95 million.

We apply a distressed enterprise value/EBITDA multiple of 5.5x, given the small size and relatively low barriers to entry for the industry against more specialised technology-driven medical devices peers.

After deducting 10% for administrative claims, the allocation of value in the liability waterfall results in a Recovery Rating of 'RR4' for the existing senior secured debt, comprising the EUR840 million TLB and EUR125 million RCF. We assume the RCF to be fully drawn prior to distress. This indicates a 'B-' instrument rating, in line with the IDR. The company has EUR11 million local facilities as prior-ranking debt, which we treat as super senior in the structure.

PEER ANALYSIS

Rodenstock is a mid-cap business with geographical concentration in Germany, competing with much larger peers such as EssilorLuxottica, Safilo, Carl Zeiss Meditec AG and Hoya, none of which are rated by Fitch. However, Rodenstock remains technologically on par with peers in product quality across the mid to premium optical products, with a well-entrenched market position in the higher-growth and more profitable progressive lens segment.

This technological competence supports operating profitability broadly in line with sector peers. As a medical device manufacturer, Rodenstock fulfils a healthcare requirement while also meeting consumer demand for glasses as a fashion accessory. Its operations benefit from positive long-term demand fundamentals and a structural trend towards more technologically advanced progressive lenses. However, optical products in Germany still require a significant share of out-of-pocket consumer expenditure, particularly for premium multi-focal ophthalmic lenses - a dynamic more acutely felt in the currently soft German market, where consumers are more inclined to delay or trade down purchases.

This hybrid medical device and consumer products nature distinguishes Rodenstock from peers such as Afflelou S.A.S. (B/Stable), a retailer with predominantly healthcare characteristics, benefiting from a supportive French reimbursement system. This leads to a more predictable operating performance for Afflelou, which is rated one notch higher than Rodenstock. WS Audiology A/S (B/Stable) is also rated one notch above Rodenstock, reflecting its larger scale and diversification, despite similarly high financial leverage above 7.0x.

RATING SENSITIVITIES

Factors that Could, Individually or Collectively, Lead to Negative Rating Action/Downgrade

- Inability to execute the refinancing or present a credible refinancing plan within the next six months
- Deterioration of competitive position leading to sustained erosion of sales, or Fitch-adjusted margins below 20%
- Negative FCF and/or tightening liquidity
- Inability to reduce EBITDA leverage below 7.5x
- Interest coverage below 1.5x

Factors that Could, Individually or Collectively, Lead to Positive Rating Action/Upgrade

- Execution on business plan leading to organic sales development alongside Fitch-adjusted EBITDA margins above 25%
- Low single digit FCF margins
- EBITDA leverage below 6.0x
- Interest coverage above 2.0x

LIQUIDITY AND DEBT STRUCTURE

At end-2025, the company had EUR12 million of fully available cash (Fitch restricts EUR16 million as not available for debt service). The company had drawn EUR89 million of its EUR125 million RCF. We expect neutral to only slightly positive FCF generation until 2029, which may be further weighed down by interest costs at refinancing,

depending on trading momentum over 2026. The company's RCF matures in December 2027 and its EUR840 million TLB is due in June 2028, so we would expect the company to refinance the capital structure in the short term.

FITCH'S KEY RATING-CASE ASSUMPTIONS

- Low-single-digit reduction in sales in 2026 due to GV contract phase out
- Sales growth averaging 3.0-3.2% over 2027-2030, driven by a combination of volume and price growth
- EBITDA margin improves to 24.4% in 2026 from 22.0% in 2025 on executed cost savings, gradual and moderate margin expansion towards 26% by 2030
- Capex at 5.3% of revenue until 2030
- Pension contribution payments of EUR11-12 million a year until 2030, gradually reducing absent new entrants to the scheme
- Refinancing of the capital structure in 2027 with 6% margin versus current 5% margin
- One-off restructuring-related costs of EUR10 million in 2026, then around EUR5 million a year in 2027-2028
- No dividends until 2030

Corporate Rating Tool Inputs and Scores

Fitch scored the issuer as follows, using our Corporate Rating Tool (CRT) to produce the Standalone Credit Profile (SCP):

Business and financial profile factors (assessment, relative importance): management ('b+', Moderate), sector characteristics ('bb+', Moderate), market and competitive positioning ('bb-', Higher), diversification and asset quality ('bb', Moderate), company operational characteristics ('bb', Lower), profitability ('b+', Higher), financial structure ('ccc-', Higher), and financial flexibility ('b-', Moderate).

The quantitative financial subfactors are based on custom CRT financial period parameters: 20% weight for the historical year 2025, 30% for the forecast year 2026, 30% for the forecast year 2027 and 20% for the forecast year 2028. B+ to CC considerations apply in our analysis and has no impact.

The governance assessment of 'some deficiencies' has no impact. The operating environment assessment of 'a+' has no impact.

The SCP is 'b-'. To derive the Long-Term IDR: Fitch made no adjustments to the SCP, resulting in an IDR of 'B-'.

ISSUER PROFILE

Rodenstock is a Germany-based global manufacturer of high-quality ophthalmic and biometric spectacle lenses and related eyewear solutions, active in more than 85 countries.

REFERENCES FOR SUBSTANTIALLY MATERIAL SOURCE CITED AS KEY DRIVER OF RATING

The principal sources of information used in the analysis are described in the Applicable Criteria.

MACROECONOMIC ASSUMPTIONS AND SECTOR FORECASTS

[Click here](#) to access Fitch's latest quarterly Global Corporates Sector Forecasts Monitor data file which aggregates key data points used in our credit analysis. Fitch's macroeconomic forecasts, commodity price assumptions, default rate forecasts, sector key performance indicators and sector-level forecasts are among the data items included.

CLIMATE VULNERABILITY SIGNALS

The results of our Climate.VS screener did not indicate an elevated risk for Rodenstock.

ESG CONSIDERATIONS

The highest level of ESG credit relevance is a score of '3', unless otherwise disclosed in this section. A score of '3' means ESG issues are credit neutral or have only a minimal credit impact on the entity, either due to their nature or the way in which they are being managed by the entity. Fitch's ESG Relevance Scores are not inputs in the rating process; they are an observation on the relevance and materiality of ESG factors in the rating decision. For more information on Fitch's ESG Relevance Scores, visit <https://www.fitchratings.com/topics/esg/products#esg-relevance-scores>.

Date of Relevant Committee

01-Jul-2026

RATING ACTIONS

ENTITY / DEBT ⇅	RATING TYPE ⇅	RATING ⇅	RATING ACTION ⇅	RECOVERY ⇅
Rodenstock Group GmbH	LT IDR	B- Rating Outlook Stable	New Rating	
senior secured	LT	B-	New Rating	RR4

[VIEW ADDITIONAL RATING DETAILS](#)

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APPLICABLE CRITERIA

[Corporate Rating Criteria \(pub. 09 Jan 2026\) \(including rating assumption sensitivity\)](#)

[Sector Navigators – Addendum to the Corporate Rating Criteria \(pub. 09 Jan 2026\)](#)

APPLICABLE MODELS

Numbers in parentheses accompanying applicable model(s) contain hyperlinks to criteria providing description of model(s).

Corporate Monitoring & Forecasting Model (COMFORT Model), v8.2.0 ([1](#))

ADDITIONAL DISCLOSURES

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Rodenstock Group GmbH

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upgrade scenarios and worst-case rating downgrade scenarios (defined as the 99th percentile of rating transitions, measured in each direction) for international credit ratings, based on historical performance. A simple average across asset classes presents best-case upgrades of 4 notches and worst-case downgrades of 8 notches at the 99th percentile. For more details on sector-specific best- and worst-case scenario credit ratings, please see [Best- and Worst-Case Measures](#) under the Rating Performance page on Fitch's website.

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